

TYPES OF LIFE INSURANCE

There are three major life insurance types that we will talk about over here - ULIPs, Endowment Plans and Term Plans. Let us understand each one of these, how they are different and which one is most suitable for us.

ULIPs

In a ULIP plan where the premium is divided into two parts-insurance and investment. Here, a part of the premium is used as a premium for life insurance, and another part is used as an investment. The investment component is put to investment products like equity, bonds, mutual funds, etc. The policyholder can choose the asset classes. It promises to pay a guaranteed lump sum to the family/policyholder on the death of the policyholder or maturity of the policy, whichever is earlier.

ENDOWMENT PLAN

Any life insurance policy that has an investment component is an endowment plan. Like ULIPs, you get a lump-sum on the death of the policyholder or maturity of the policy, whichever is earlier. Unlike ULIP, we cannot decide where the investment component will be invested. It is decided by the insurance company. Like we discussed earlier, we should never mix investment and insurance.

TERM PLAN

This is pure insurance and there is no investment component. We pay only the premium for the insurance component and if there is no claim, the money gets wasted and we do not get paid back anything in return. Term plans offer higher coverage than all other plans. This is the one that we need to buy. We want our life insurance money to be wasted.